

Walmart Inc. (WMT.US)

Consumer Defensive · Discount Stores
Large Cap (>\$200B) · Report Date: June 12, 2026
Latest financials: Q1 FY2026 · Model data as of 2026-06-12

UNDERWEIGHT

Blended Target: \$113.36

DCF + Comps + Analyst (see cross-check table)

Implied upside: -5.4%

Price (Jun): \$119.79

INVESTMENT HIGHLIGHTS

- **UNDERWEIGHT** — blended target \$113.36 (-5.4% vs \$119.79); multi-method valuation after outlier checks.
- Modest revenue growth; compressed margins; strong roe; positive fcf generation
- Moderate revenue expansion (7.3% YoY)

INVESTMENT THESIS / EXECUTIVE SUMMARY

Walmart Inc. (WMT) — Consumer Defensive. Walmart Inc. engages in the operation of retail and wholesale stores and clubs, ecommerce websites, and mobile applications worldwide. The company operates... **UNDERWEIGHT** rating; blended target \$113.36. See Investment Highlights above and valuation cross-check on page 2.

KEY DATA & MARKET HIGHLIGHTS

Item	Value	Item	Value
Market Cap	\$953.30B	Shares Out.	7958.1M
52-Week Range	\$93.62 – \$135.16	P/E (TTM)	42.2x
P/B	9.6x	Beta	0.60
Avg Volume	20.54M	Analyst Rec.	Strong_Buy
Revenue (TTM)	\$725.30B	Rev Growth	+7.3%
Op. Margin	4.2%	FCF (TTM)	\$14.92B



FINANCIAL & VALUATION SUMMARY

(USD millions except per-share; E = forecast)

Metric	FY 2025A	FY 2026A	FY 2027E	FY 2028E	FY 2029E
Revenue (\$M)	680,985	713,163	765,224	810,066	849,370
Revenue Growth (%)	N/A	4.7%	7.3%	5.9%	4.9%
Net Income (\$M)	19,436	21,893	23,491	24,868	26,074
Net Income Growth (%)	N/A	12.6%	7.3%	5.9%	4.9%
Gross Margin (%)	24.9%	24.9%	25.0%	25.0%	25.0%
Net Margin (%)	2.9%	3.1%	3.1%	3.1%	3.1%
ROE (%)	21.4%	22.0%	23.6%	22.6%	22.6%
EPS (\$)	2.44	2.75	2.95	3.12	3.28
Book Value / Share (\$)	11.44	12.52	12.52	13.80	14.49
P/E (x)	49.05	43.54	40.58	38.33	36.56
P/B (x)	10.47	9.57	9.57	8.68	8.27
Dividend Yield (%)	82.0%	82.0%	82.0%	82.0%	82.0%

VALUATION CROSS-CHECK

Valuation Method	Implied Price	vs. Current	Weight in Target	Notes
DCF (Simon FCFE)	\$81.93	-31.6%	28%	Included in blend
Comps — P/E (peer median)	\$84.56	-29.4%	—	Peer median P/E 29.8x
Comps — EV/EBITDA (peer median)	\$150.35	+25.5%	—	Peer median 27.0x
Comps — Blended (avg. of available multiples)	\$117.46	-1.9%	44%	Anchor multiple-based value
Analyst consensus (Yahoo Finance)	\$138.37	+15.5%	28%	Included in blend
Blended target (weighted)	\$113.36	-5.4%	100%	DCF 28% + Comps 44% + Analyst 28%

DCF VALUATION SUMMARY (SIMON FCFE)

Item	Value
Ke (cost of equity)	7.50%
Terminal g	4.00%
FCFE growth	12.00%
Base FCFE	\$14.92B
PV explicit (5Y)	\$87.64B
PV terminal	\$564.38B
Equity value (adj.)	\$652.02B
Implied price	\$81.93
vs. current	-31.6%

INDUSTRY ANALYSIS

1. Industry Overview

Walmart Inc. engages in the operation of retail and wholesale stores and clubs, ecommerce websites, and mobile applications worldwide. The company operates through three segments: Walmart U.S., Walmart International, and Sam's Club U.S. It operates supercenters, supermarkets, warehouse clubs, cash and carry stores, and discount stores under Walmart and Walmart Neighborhood Market brands;...

2. Key Trends

- Moderate revenue expansion (7.3% YoY)
- Defensive profile (β =0.60)
- Sector: Consumer Defensive | Industry: Discount Stores

3. Risk Factors

- Premium valuation (P/E: 42.2x)

COMPETITOR ANALYSIS

Ticker	Company	Market Cap	P/E	EV/EBITDA	Net Margin	Rev Growth
NVDA	NVIDIA Corporation	\$5.01T	31.6x	29.7x	63.0%	+85.2%
GOOGL	Alphabet Inc.	\$4.46T	27.9x	26.7x	37.9%	+21.8%
AAPL	Apple Inc.	\$4.30T	35.5x	27.2x	27.2%	+16.6%
MSFT	Microsoft Corporation	\$2.89T	23.2x	16.0x	39.3%	+18.3%
WMT*	Walmart Inc.	\$953.30B	42.2x	23.0x	3.1%	+7.3%

* Subject company. Commands premium p/e vs peers; below-peer profitability. Modest revenue growth; compressed margins; strong roe; positive fcf generation. Source: Yahoo Finance. Not investment advice.